

5-3b Customer Returns, Refunds, and Allowances

As was described and illustrated earlier, sellers are required to estimate customer returns, refunds, and allowances at the end of the accounting period. Based upon these estimates, two adjusting journal entries are recorded. The first adjusting entry debits Sales and credits Customer Refunds Payable for estimated customer refunds and allowances. The second adjusting entry debits Estimated Returns Inventory and credits Cost of Goods Sold for merchandise that is expected to be returned.

To illustrate, assume the following unadjusted balances for **NetSolutions** as of December 31, 20Y8:

Unadjusted Balances December 31, 20Y8		
	Debit	Credit
Sales		\$715,409
Cost of Goods Sold	\$523,505	
Estimated Returns Inventory	300	
Customer Refunds Payable		800
Estimated cost of merchandise returned for 20Y8 sales	\$5,000	
Estimated percent of refunds of 20Y8 sales	1%	

On December 31, 20Y8, NetSolutions would record the following two adjusting entries:

Dec. 31	Sales (1% × \$715,409)		7,154	
	Customer Refunds Payable			7,154
Assets	=	Liabilities	+	Stockholders' Equity
		Customer Refunds Payable		Sales
		7,154		7,154

Dec. 31	Estimated Returns Inventory				5,000	
	Cost of Goods Sold					5,000
	Assets	=	Liabilities	+	Stockholders' Equity	
	Estimated Returns Inventory				Cost of Goods Sold	
	5,000				5,000	

The first adjusting entry reduces 20Y8 sales by the estimated refunds that may occur in 20Y9. Since 1% of sales are expected to be refunded, Sales is debited for \$7,154 (1% × \$715,409). In addition, a liability is recorded for \$7,154 by crediting Customer Refunds Payable for the estimated customer refunds in 20Y9.

The second adjusting entry debits the asset Estimated Returns Inventory and reduces Cost of Goods Sold for the cost of merchandise that is expected to be returned in 20Y9 of \$5,000. Estimated Returns Inventory is debited rather than Inventory because the type of merchandise returned will not be known until the returns actually occur.

After the adjusting entries are posted to the ledger, Estimated Returns Inventory will have an adjusted balance of \$5,300 (\$300 + \$5,000). Estimated returns inventory of \$5,300 is reported on the balance sheet as a current asset following Inventory. Customer Refunds Payable will have a balance of \$7,954 (\$800 + \$7,154). Customer refunds payable of \$7,954 is reported as a current liability.